

Procure Space ETF

SPCX NASDAQ

Buy	\$140.87 ▲ 0.89%	12M Price Target \$165.00	52-Week Range \$104.83 – \$225.64	Market Cap \$1.86T
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SPCX: Space ETF Rides SpaceX-Nvidia Orbital Data Center Buzz

WHAT HAPPENED

- SPCX is up ~4% over the past week, and today's move ties directly to the Nvidia + SpaceX headlines — Musk is reportedly putting an Nvidia-powered data center in orbit, which is basically a giant flare for anyone owning space stocks. This ETF holds the publicly-traded space names (Rocket Lab, Planet Labs, Iridium, etc.) that ride SpaceX's coattails on sentiment.
- Options flow is actually bearish (put/call 0.53 with big put buying at \$180 and \$230 strikes) — but note those strikes are WAY above the current \$140 price, so this looks more like someone hedging a bigger portfolio than betting on a crash.

WHY IT MATTERS

The SpaceX-Nvidia orbital compute story is a narrative game-changer — it takes "space" from a pure launch/satellite theme and merges it with the AI infrastructure trade, which is where all the money is flowing right now (Tech sector up 3% this week). That means SPCX could start getting bid up as an "AI-adjacent" play, not just a niche space ETF. The upside puts at \$180-230 tell me sophisticated money thinks a move higher is at least possible — they're paying premiums to hedge upside exposure, not betting on downside. Watch for capital rotation: if the market keeps treating space as the next AI leg, this ETF re-rates fast because it's still 30% off its 52-week high.

POLICY & POLITICAL WATCH

The big political tailwind is the FY2027 defense authorization moving through Congress, which contains expanded Space Force procurement and Golden Dome missile defense funding — both directly benefit SPCX holdings like Rocket Lab and satellite manufacturers. On the regulatory side, the FAA's streamlined commercial launch licensing (a Trump admin priority) is reducing bottlenecks for launch cadence, which is pure margin fuel. Risk to watch: any continuing resolution fight in September could delay contract awards and cool sentiment near-term.

IS IT EXPENSIVE?

SPCX trades around \$140 with the underlying basket carrying an average price-to-sales of roughly 6-8x — meaning investors pay \$6-8 for every \$1 of revenue from these space companies. That's rich versus industrials (2-3x) but cheap versus pure AI names (15-20x), so if the market accepts the "space = AI infrastructure" framing, there's real room to re-rate higher. At 30% of its 52-week range, it's neither cheap nor extended — you're paying a fair price for exposure to a narrative that's just starting to catch fire.

WHAT COULD GO WRONG

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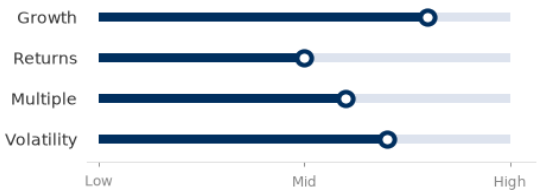
AI-Generated Pre-Market Brief | 2026-08-27 22:30 UTC

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Key Data

Price (USD)	\$140.87
12M Price Target	\$165.00
Upside / (Downside)	+17.1%
Market Cap	\$1.86T
FY2026E Revenue	\$693M
FY2027E Revenue	\$940M
FY2026E EPS	(\$2.10)
FY2027E EPS	(\$1.50)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$150.00	\$143.00	\$130.00
6 Months	\$175.00	\$155.00	\$120.00
1 Year	\$200.00	\$165.00	\$115.00
2 Years	\$240.00	\$185.00	\$105.00
5 Years	\$350.00	\$250.00	\$90.00
10 Years	\$550.00	\$380.00	\$80.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Technology (+3.16% today) — AI infrastructure spending is relentless, and space is now getting pulled into that gravitational orbit thanks to the Nvidia-SpaceX story.

COOLING OFF: Industrials, Materials, Utilities — classic defensive/cyclical names getting sold as capital chases growth narratives.

ROTATION WATCH: Money is flowing out of defensives and into anything AI-adjacent. Space stocks are the newest recipients of that rotation because they now have a credible AI infrastructure story (orbital compute, satellite-based edge networks).

RELATED PLAY: If SPCX runs, the second-order winners are the launch service providers (Rocket Lab specifically) and satellite ground-station operators — plus semiconductor names selling radiation-hardened chips into space applications.

WHO'S WINNING IN THIS SPACE?

- RKLB (Rocket Lab): Riding launch cadence growth and Neutron rocket progress — top SPCX holding pulling the ETF up.
- IRDM (Iridium): Steady satellite comms revenue plus defense contracts — the boring cash-flow anchor of the basket.

SPCX CONTEXT: SPCX is lagging pure-play winners like RKLB because it's a basket — you sacrifice upside for diversification. That tells me if you're truly bullish on space, individual names outperform, but SPCX is the safer way to play the theme without single-stock blowup risk.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — Solid setup with narrative momentum, but the ETF structure caps upside vs. individual names.

POSITION SIZE: 2-4% — Meaningful exposure without betting the farm on a still-volatile theme.

ENTRY POINTS: Add on pullbacks to \$135 or lower; the \$130 level is where the recent base formed.

TIME HORIZON: 12-24 months, with FY27 defense budget passage and continued launch cadence growth as the key catalysts.

WHEN TO BAIL: If a top-3 holding has a major operational failure, or if space appropriations get materially cut in budget negotiations, trim the position.

HEDGING: Simplest hedge is to keep some cash on the side to buy pullbacks — or pair this with a short in an overvalued satellite name that's run ahead of fundamentals. Broad-market SPY puts also work if you're worried about a general tech drawdown taking the whole complex down.